
POLICY**Medicaid (MA) Only**

This item applies to SSI-related MA for children. A child is an unmarried person under age 18.

Exception: This item does **not** apply to Extended-Care (BEM 164).

An SSI-related child's income is:

- The child's own countable income from BEM 500 and BEM 530, plus
- Income deemed to him from his parent(s).

Deductions from an SSI-related child's income in this item explains what amounts must be deducted from an SSI-related child's income.

**PARENTAL INCOME
DEEMING****When Deeming
Applies**

Parents with sufficient income deem a portion to their SSI-related child. Deeming applies only when:

- Eligibility is **not** being determined under BEM 170, Home Care Children; BEM 171, Children's Waiver; or BEM 172, SED Waiver; **and**
- The child lives with (BEM 211) only one parent and that parent is not a FIP or SSI recipient; **or**
- The child lives with both parents and neither parent is a FIP or SSI recipient.

Use the following procedure when deeming applies.

Parental Income

1. Determine the parent's countable unearned income (see BEM 500 and 530). If two parents, add the amounts together. Go to 2.

2. Deduct court-ordered child support paid by a parent to a child who does not live with the group. Deduct the amount specified in the court order or the actual amount paid.
3. Determine the parent's countable earned income (see BEM 500 and 530). If two parents, add the amounts together.

End procedure if the parents have no countable income. Go to *Deductions from an SSI-related child's income* in this item.

Go to 4 if the parents have countable income.

Allocation to Non- SSI-Related Children

4. Determine if the parents have non-SSI-related child(ren) living in the home. A non-SSI-related child is a child or stepchild who:
 - Is unmarried and under age 18; and
 - Is **not** an SSI, FIP, SDA or title IV-E recipient; and
 - Is **not** a Department ward; and
 - Is **not** an applicant for, or recipient of, MA based on disability or blindness.

If the parents do **not** have a non-SSI-related child in the home, the total allocation is zero. Go to 6.

Follow steps (a) through (e) separately for each non-SSI-related child living with the parents to compute the child's allocation. Then go to 4.

- a. Determine the child's countable unearned income (see BEM 500 and 530). Go to b.
- b. Determine the child's countable earned income (see BEM 500 and 530). If the child is a full-time or half-time student (as determined by the institution), subtract \$1700 from his countable earned income to get remaining earned income. Go to c.
- c. Add the child's countable unearned income and his remaining earned income (a + b above) to get remaining income. Go to d.
- d. Deduct the following from the child's remaining income (c above):

- Court-ordered support paid by the child, and
- \$83 for guardianship/conservator expenses paid by the child; see Guardianship/ Conservator Expenses in this item.

The income left after these deductions is called net income. Go to e.

- e. Determine the allocation for the child. No income allocation is allowed to a child from his parents, if the child's net income (d above) is equal to or more than:

- \$498 for months in calendar year 2026.
- \$484 for months in calendar year 2025.

If the child's net income (d above) is less than \$498, the difference (\$498 minus d) is the allocation to this child from his parents.

Follow steps (a) through (e) for each non-SSI-related child and then go to 4.

Total Allocation Deduction

5. Add up all the allocations (3e above) to get the total allocation. Go to 5.
6. Subtract the total allocation (4 above) from the parents' countable unearned income (1 above) first. If countable unearned income is reduced to zero, subtract the remainder of the total allocation from the parents' countable earned income (2 above).

If the parents have no countable unearned income, subtract the total allocation (4 above) from their countable earned income (2 above).

Any countable unearned income left after the total allocation is subtracted is called remaining countable unearned income. Any countable earned income left is called remaining countable earned income. Go to 6.

**Deductions for
Parental Needs**

7. Subtract the appropriate amount based on parents' remaining income after step 5.
- Subtract \$20 from the parents' remaining unearned income. Subtract \$20 from the parents' remaining earnings if there is no remaining unearned income.
 - Disregard \$65 plus 1/2 of the parents' earned income. Use RFT 295 to determine this amount.
 - Add the remaining unearned and earned incomes together. Subtract:

One Parent		Two Parent	
Calendar Year	Amount Subtracted	Calendar Year	Amount Subtracted
2026	\$994	2026	\$1491
2025	\$967	2025	\$1450
2024	\$943	2024	\$1415
2023	\$914	2023	\$1317

Go to 7.

Deemed Income

8. The income after the deductions in step 6 above is the amount of deemable income. The amount of deemable income is divided by the number of the parents' children who:
- Live with the parents (BEM 211), **and**
 - Are unmarried and under age 18, **and**
 - Are SSI recipients, **or**
 - Are:
 - Applicants for, or recipients of, MA based on blindness or disability; **and**
 - Meet the nonfinancial eligibility factors for MA in BEM 155 or 166; **and**

- Are **not** having MA eligibility determined, or are **not** receiving MA, under BEM 170, 171, 172, Home Care Children, Children's Waiver or SED Waiver.

Note: There is always at least one such child; that is, the child whose eligibility is being determined.

The result of the division calculation in this step is the amount of income deemed to the child whose eligibility is being determined.

Go to *Deductions from an SSI-related child's income* in this item.

DEDUCTIONS FROM AN SSI-RELATED CHILD'S INCOME

The following are subtracted from an SSI-related child's income in the order listed.

Blind and Impairment- Related Work Expenses

Blind work expenses are costs which are reasonably attributable to a blind child earning income.

Impairment-related work expenses are the cost of certain impairment-related services and items that a disabled child needs in order to work.

Subtract allowable work expenses paid by a blind or disabled child from his own countable earned income.

See BEM 260 for definitions of blindness and disability.

See EXHIBIT in BEM 541 for a list of allowable blind work expenses (BWE) and impairment-related work expenses (IRWE). Do **not** deduct:

- Normal living expenses such as meals outside work hours and cosmetics.
- Costs paid (or reimbursed) by an employer, other person or other source (such as insurance or Medicaid).

**Student Child
Disregard**

Subtract \$1700 from the child's remaining earned income when the child:

- Is a full-time or half-time student (as determined by the institution), and
- Lives with a person who provides for the child's physical care or supervision.

**1/3 Child Support
Disregard**

Subtract one-third of the child support received by a child from his continuously absent parent from the child's countable unearned income when the child lives with a person who provides for the child's physical care or supervision.

\$20 Disregard

Subtract \$20 from the child's remaining unearned income (including parental deemed income). Subtract \$20 from the child's remaining earned income if there is no remaining unearned income or parental deemed income.

\$65 + 1/2 Disregard

Disregard \$65 plus 1/2 of the child's remaining earned income.

**Guardianship/
Conservator
Expenses**

Deduct \$83 for court-appointed guardianship/conservator expenses if verified paid by the child from the child's remaining income (such as remaining unearned plus remaining earned income).

Guardianship/conservator expenses include:

- Basic guardianship fee.
- Mileage.
- Other costs of performing guardianship/conservator duties.

LEGAL BASE**MA**

Social Security Act, Section 1902(a)(10)
42 CFR 435.831(a)(2)